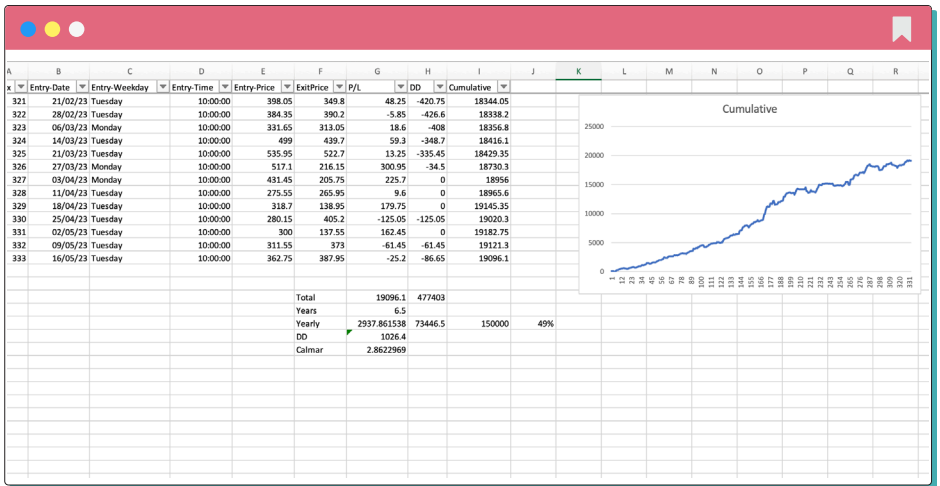


HISTORICAL PERFORMANCE

To assess the effectiveness of the Expiry Decay Strategy, we examine historical results from 2017, when weekly options were introduced for Bank Nifty. The results demonstrate a total profit of approximately 19,000 points over a 6-year period, without considering costs or brokerage fees. Multiplying this by 25 (assuming a quantity of 25 for all trades) yields a profit of around ₹7,00,000. This translates to an annual Return on Investment (ROI) of 2900 points or ₹73,000, considering the required margin of approximately ₹1,50,000 to initiate the strategy.



It is important to note that 2020 experienced a significant drawdown of almost 1000 points due to high volatility and substantial market movements. Therefore, it is advisable to skip trades during periods of excessively high VIX to reduce the drawdown and improve the overall performance of the strategy.

CONCLUSION

The Expiry Decay Strategy presents an opportunity to capitalize on the rapid premium decay of options as the expiry date approaches by strategically selling OTM.



Backtested results